Unlocking Constraints to Localization

How USAID can increase direct funding to local organizations

Key Findings

- Slow progress toward achieving localization is **prim**
  constraints: challenges within USAID, rather than
- Despite this, **current policy primarily tackles sup**
- USAID is **not adequately reaching or engaging wit**
- **Insufficient staffing is not a significant bottleneck** to
- **Mission Directors or Acquisition & Assistance staff** mu
- Commitment to localization is **not reaching Missions**.

Policy Recommendations

Reach local organizations where they are

through increased communication in local languages, direct outreach, and dedicated localization staff

Change the real costs & benefits to localization for USAID and implementing partners

through performance-based staff incentives and fixed amount awards

Change perceptions of localization among key staff

through increased engagement with Mission leadership and increasing used of regionally based flexible funding pools

Context on localization

Administrator Power continues a decade-long push for localization

Evidence suggests that localization can offer immense benefits to recipient countries as well as bilateral donors like USAID.

- Localization improves program effectiveness through **increased context awareness, improved resource alignment, heightened accountability, and higher flexibility**.
- Although there is a dearth of evidence on the benefits of localization of funding, **USAID seeks to close these knowledge gaps**.
- Empirical evidence demonstrates the **effectiveness of community-led and community-driven development**, which are a proxy for localization.
- **Decentralization in governance leads to better development results**, also suggesting localization could be highly effective.

Recent efforts by Administrator Samantha Power to increase localization of funding join a long tradition of initiatives dating back to 2011. **USAID has made great progress toward localizing funding** compared to other bilateral, multilateral, and private donors. However, analysis suggests that **constraints within USAID, rather than among local organizations, pose the primary barriers to localizing funding**.

The problem

Localization of USAID funding falls short of targets

To measure progress toward localization, USAID has set two, key, agency-wide targets:

1. Increasing the proportion of USAID funding obligated directly to local partners to 25% by the end of fiscal year 2025
2. Increasing the number of USAID programs that place local communities in the lead to 50% by 2030

As of early 2024, **USAID is not on track to reach its 25% funding target.**

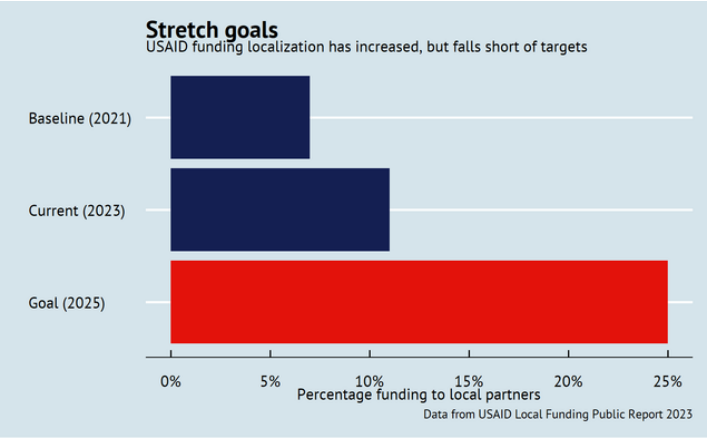
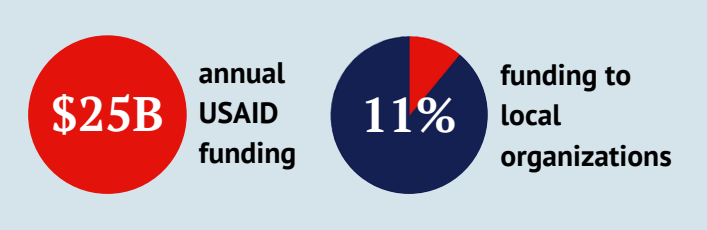


Figure 1. USAID's agency-wide share of localized funding from the baseline amount of 7% from 2021, the last estimated figure of 10.5% from 2023, and the 25% by 2025 goal amount.



Key findings

USAID can make internal changes to increase localization of funding

Within and outside of USAID, people have noticed the extensive efforts of the Power administration to support localization. To amplify these efforts and reach Agency targets, we hope to **identify some of the challenges that have limited localization to date**.

Review of **evidence from USAID policy, qualitative interviews, and quantitative analysis** makes clear the varied barriers to localization. Some constraints are technical and can be unlocked with changes to process. However, many barriers to localization are adaptive in nature: they require people to change their beliefs. In particular, we see three key challenges.

Key Challenges

1. **USAID struggles to reach local partners**; as a result, local partners hesitate to allocate their capacity and resources to apply for USAID funding.
2. **There are some real costs to localization** for both USAID and partners.
3. **USAID staff perceive low returns to localization that are not fully supported** by quantitative evidence

Slow progress toward achieving localization is primarily due to demand-side constraints; they are challenges within USAID rather than among local organizations.

The most binding, demand-side constraint illustrates that **USAID does not know how to reach local organizations**.

Insufficient staffing is not a significant bottleneck to localization, despite its frequent mention in key informant interviews.

Mission Directors or Acquisition & Assistance staff must be mobilized to achieve localization, as they have the greatest ability to catalyze change and to mobilize other Mission staff toward localization goals.

USAID commitment to localization is not reaching Missions, and engagement depends on individual interest.

Current policy primarily tackles supply-side technical barriers to localization, although demand-side barriers are more constraining.

Policy Recommendations

Reach local organizations where they are

1.1 Increase communication on how to work with USAID **in local languages**, especially for difficult-to-reach populations, to build familiarity and trust.

1.2 Increase direct engagement between Missions and local organizations and networks, especially in areas outside of capital cities.

1.3 Missions should include a **dedicated localization staff** member within their Acquisition & Assistance team.

Change the real costs & benefits to localization for USAID and implementing partners

2.1 Provide performance-based incentives for Mission staff, especially Acquisition & Assistance, to experiment with procurement processes that can foster localization.

2.2 Incentivize increased use of fixed amount awards (FAAs) and renewal awards, and decrease use of cost reimbursement awards.

Change perceptions of localization among key staff

3.1 Increase engagement of Mission leadership to actively contribute to cross-Agency localization planning and implementation, such as having executive staff lead reginal working groups.

3.2 Shift away from centralized flexible funding pools and increase regionally based flexible funding pools.